



MARKET MONITOR

No. 45 – February 2017

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Roundup

Despite occasional and short-lived price upswings in international markets, prompted mostly by weather factors, record to near-record production combined with expectations of comfortable stock levels have paved the way for one of the least turbulent seasons in nearly a decade for all four AMIS crops. While weather will remain an important factor impacting the size of crops to be harvested in 2017/18, price prospects, and hence returns, will be critical for planting decisions. Volatile currency markets and emerging uncertainties confronting trade flows are likely to have a strong bearing on market developments in the coming months and into the next season.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	▼	■
Soybeans	■	■

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production estimate for 2016 raised 9 million tonnes since December, mostly on larger-than-expected harvests in Australia and Russia. World wheat output to set a new record for the fourth year in a row.
- Utilization in 2016/17 up 3.1 percent from 2015/16, underpinned by a strong growth in feed use in light of large supplies of low-quality wheat this season.
- Trade prospects in 2016/17 (July/June) improved further on bigger anticipated imports by Brazil and India. Export forecast for Australia lifted sharply since December.
- Stocks (ending in 2017) raised by 6 million tonnes, mostly reflecting the latest upward adjustments to 2016 production estimates in several countries.

WHEAT

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Dec	2-Feb

735	749	758
947	976	984
715	734	736
168	168	171
226	239	245

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Jan		19-Jan
735	753	736	752
953	993	941	973
712	740	720	738
173	178	164	168
240	253	221	235

- **Maize** production estimate for 2016 lifted, largely on upward adjustments in China, more than offsetting a downward revision in the US. Output in 2016 would be the second highest on record.
- Utilization pointing to a 2.3 percent growth in 2016/17, mostly driven by strong demand for animal feed and industrial use, especially in China and the US.
- Trade in 2016/17 (July/June) remaining below 2015/16, as reduced imports in China, the EU and several countries in Central America, more than offset higher purchases by numerous countries in Africa.
- Stocks (ending in 2017) adjusted upward, largely on lower-than-anticipated drawdowns in China and Ukraine.

MAIZE

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Dec	2-Feb

1006	1027	1033
1230	1244	1250
1007	1030	1031
140	137	138
217	212	216

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Jan		19-Jan
961	1038	972	1045
1170	1248	1179	1253
960	1027	970	1028
121	148	136	135
210	222	209	225

- **Rice** production in 2016 confirmed at a new record, in spite of downward adjustments for China, the US and Viet Nam.
- Utilization in 2016/17 downscaled on reduced industrial and feed use prospects in Asia.
- Trade in calendar 2017 raised slightly, with higher anticipated imports by China, Nigeria, the Philippines and Sri Lanka supporting a partial y/y recovery.
- Stocks (ending in 2017) lowered, mostly reflecting less pronounced build-ups in China and the US.

RICE (milled)

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Dec	2-Feb

492	499	496
666	670	667
495	501	500
41.7	42.9	43.2
171	171	170

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Jan		19-Jan
472	480	472	482
587	597	591	600
471	478	473	482
39.7	40.8	39	41
117	119	118	118

- **Soybean** 2016/17 production lowered 3 million tonnes from December, with gains in India and Brazil only partially offsetting downward corrections in the US and a sharply lower forecast in Argentina, following adverse weather. Global output remains set to reach an all-time high.
- Utilization in 2016/17 lowered somewhat since December, with drops in China and Argentina only in part compensated by gains in Brazil.
- Trade in 2016/17 (Oct/Sep) virtually untouched, confirming a 3 percent increase from 2015/16, to a new record.
- Stocks forecast (2016/17 carryout) trimmed slightly, with cuts in Argentina and the US offsetting an upward correction for China.

SOYBEANS

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Dec	2-Feb

315	336	333
359	379	376
320	335	334
135	139	139
43	43	43

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Jan		19-Jan
314	338	316	334
392	415	353	368
316	330	319	333
132	140	134	137
77	82	34	35



FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to:

<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17

in thousand tonnes

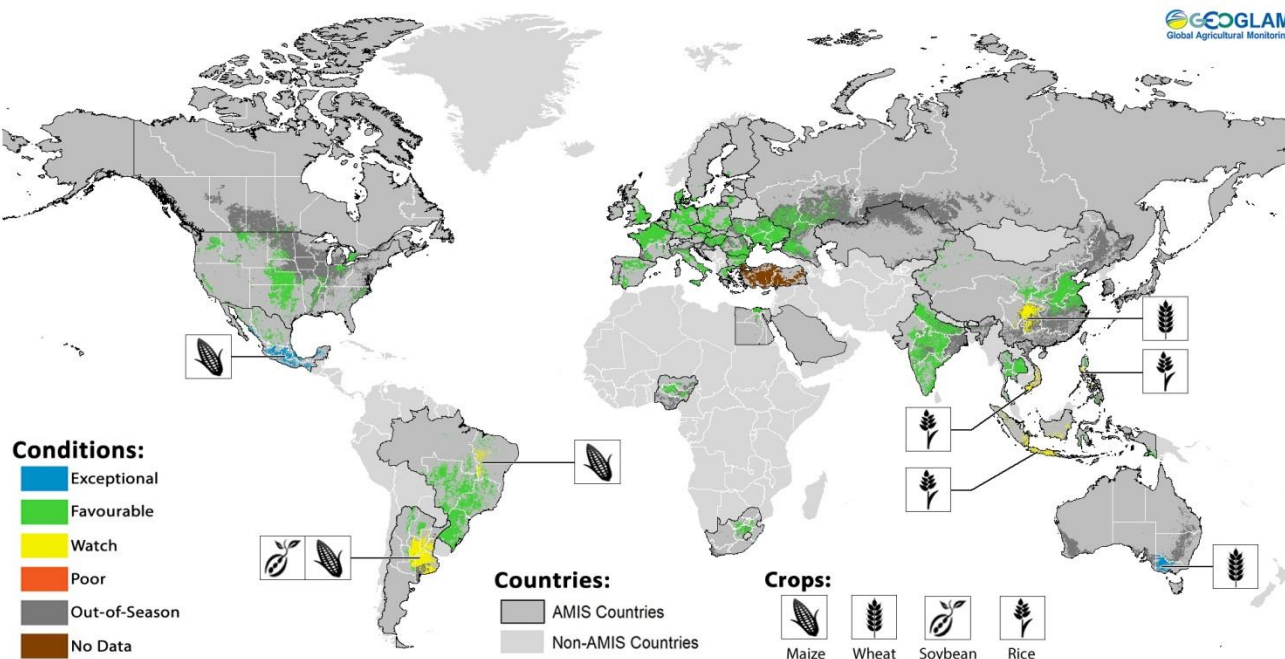
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	8840	2420	2240	2455	6535	5051	140	434	65	3650
Total AMIS	8688	2140	2286	2100	6300	4265	-910	-259	-420	3153
Argentina	1500	-	-	-200	1700	-	-	-	-	-
Australia	4564	-	500	3000	1564	-	-	-	-	-
Brazil	416	1000	66	-	1350	-214	-	-214	-1000	-
Canada	198	-	198	-1000	300	23	-	-27	-	-
China Mainland	-	-	-	-	-	4554	-	1000	-	3606
Egypt	-	-200	-	-	-200	-	-	-	-	-
EU	500	200	700	-300	300	500	-1000	-	-	-500
India	-	1500	1500	-	-	855	-	-	-200	755
Indonesia	-	-	-	-	-	-	-	-30	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	700	-	-700	-100	-	-	-	-100
Mexico	-	-	-	-	-	-	400	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-100	-	-	-100	265	-100	-15	-	180
Rep. of Korea	-	-60	-	-	-	-	-250	-	-	-200
Russian Fed.	1268	-500	-	500	268	-269	-	-269	-	-
Saudi Arabia	-	-	-	-	-	-	100	100	-	-
South Africa	142	-	42	50	50	-	-	-	-	-
Thailand	-	-500	-900	-	400	-385	40	405	-120	-630
Turkey	100	-	-	-	100	400	-200	100	-	100
Ukraine	-	-	-	-	-	380	-	-900	500	1168
US	-	-	-1170	-	1168	-1970	100	-635	400	-1226
Viet Nam	-	800	650	50	100	226	-	226	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-2336	319	-966	228	-539	-2994	237	-1657	367	-105
Total AMIS	-2384	165	-994	230	-672	-2544	137	-1341	207	-126
Argentina	-	-	-	30	-	-3400	280	-2020	-300	-500
Australia	-	-30	-	-	-	-	-	-	-	-
Brazil	-	100	-34	-100	34	1223	-	1250	150	-218
Canada	-	-	-	-	-	10	-	-100	200	-90
China Mainland	-1484	250	-634	30	-500	-	-	-1400	-	1900
Egypt	-	-	-	20	-	-	-680	-600	37	-80
EU	-20	-	-20	-	-	3	-	-33	-	-
India	-	-	150	-	200	900	-	900	-	-
Indonesia	-	-	-	-	-	-	329	169	-	130
Japan	-	-	-	-	-	-	37	37	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-35	-15	-	-5	-	280	200	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-105	140	-195	-	-100	-	-	-	-	-
Rep. of Korea	-	-	-	-	-50	-	50	40	-	10
Russian Fed.	-48	-	-38	-	-10	100	-	60	-	40
Saudi Arabia	-	-50	-	-	-	-	-	-	-	-
South Africa	-	-50	-15	-	-5	-	-	-	-	-
Thailand	-	-50	-200	250	-	-	140	100	10	30
Turkey	-	-30	-10	-	-30	-	-25	25	-	-100
Ukraine	-4	-5	-14	-	-	100	-	-93	110	113
US	-337	-25	-31	-	-306	-1470	-136	27	-	-1633
Viet Nam	-387	-50	61	-	100	-10	-138	97	-	272

Crop monitor

Crop conditions in AMIS countries (as of 28 January)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 January. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

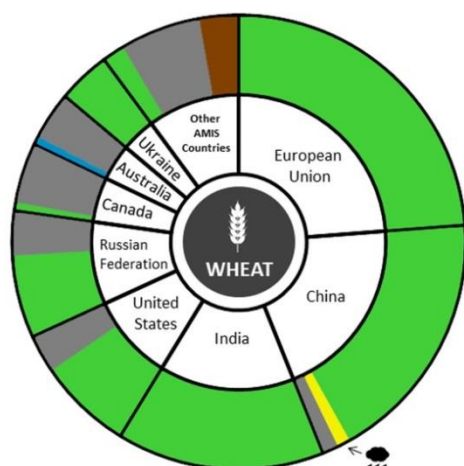
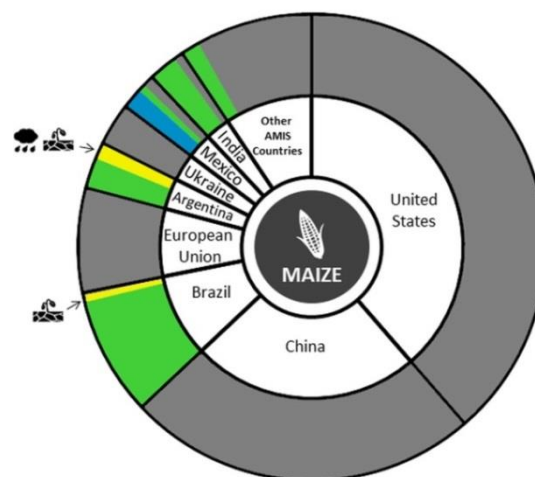
Conditions at a glance

Wheat - In the northern hemisphere, winter wheat is in dormancy in most countries under generally favourable conditions. In the southern hemisphere, harvest is almost complete under favourable conditions in South Africa and most of Argentina. Australia experienced exceptionally good weather conditions over large production areas with beneficial rains throughout the season and a bumper crop has been harvested.

Maize - In the northern hemisphere maize is mostly out of season. In the southern hemisphere, conditions are generally favorable in Brazil, Argentina, and South Africa with only minor areas of dry or wet conditions.

Rice – The growing season of main crops is mostly over in the majority of Southeast Asia. The Rabi crop in India, and the dry season crop in Thailand are in favourable conditions. In Indonesia, harvest of the early planted main crops has begun with concerns over final yields due to a lack of sunlight during critical growing stages. Planting of the dry season crop has begun in Viet Nam and the Philippines under mixed conditions.

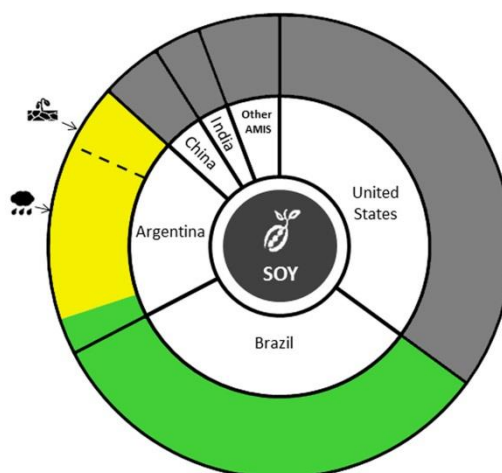
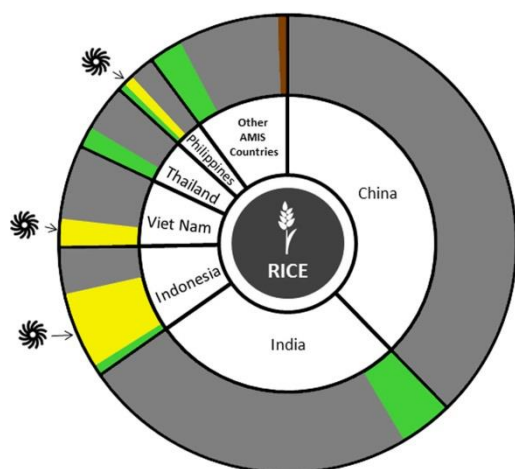
Soybeans - In the southern hemisphere, growing conditions in Brazil are favourable and harvesting has already started in some areas. In Argentina, conditions are mixed for both early and late planted crops owing to excessive rainfall in the central regions and dry conditions in the south.

Conditions:**Drivers:****Wheat**

In the **EU**, overall conditions are favourable for the dormant winter wheat crop. In the **US**, winter wheat is dormant and under favourable conditions and planted area is down. In **Canada**, winter wheat is under favourable conditions with a minor area currently monitored for winter kill in Alberta. In **China**, conditions for winter wheat are generally favourable, though there are some concerns due to excessive rain in parts of the Southwestern growing region. In **India**, winter wheat is in the jointing stage under generally favourable conditions. In the **Russian Federation** and **Ukraine**, conditions are favourable with adequate snow cover providing protection from low temperatures. In **Australia**, harvest is complete with a bumper crop owing to excellent growing conditions throughout the season including good rainfall that began early in the season and continued through critical growing stages. In **Argentina**, harvest is all but complete under generally favourable conditions, reduced yields occurred in some main producing areas, however reductions were offset by recent expansions of wheat growing areas further north.

Maize

In **India**, harvest is nearing completion under generally favourable conditions. In **Mexico**, the spring-summer crop is being harvested under favourable conditions with a larger crop than last year expected owing to a mix of factors including increased planted area, yield increases, as well as less crop damage. In **Brazil**, the spring crop is under generally favourable conditions with the exception of the northeast region (a relatively minor production region) due to dryness. Harvest has begun in the south and planting has started for the summer planted crop under favourable conditions. In **Argentina**, planting is almost complete under mixed conditions due to excess rainfall causing flooding in some areas and a lack of rainfall in southern regions. In **South Africa**, an average to slightly above average yield is expected over both the eastern and western maize production regions owing to favourable weather conditions.

Conditions:**Drivers:****Rice**

In **India**, the Rabi crop is entering the reproductive stage under generally favourable conditions, with spot dryness in the south. In **Indonesia**, harvest of the early planted main crops has begun with concerns over final yields due to a lack of sunlight during critical growing stages. The planting of wet season rice started earlier than usual due to unseasonable precipitation from La Niña. In **Viet Nam**, sowing has begun in the south for dry season rice under less than favourable conditions due to salinization. In **Thailand**, dry season rice is in the tillering stage under favourable conditions with an increase in planted area compared to last year owing to sufficient rainfall and irrigation water. In the **Philippines**, dry season rice is in the planting to early vegetative stages under generally favourable conditions with the exceptions of the central and eastern regions, where typhoon Nock-Ten caused some crop damage. Planted area is up compared to last year owing to adequate irrigation water and rainfall. In **Brazil**, conditions are favourable with planting completed in the south, which is the main producing region.

Soybeans

In **Brazil**, conditions are favourable and harvest has started for the short cycle crops in a number of areas following good growing conditions. In **Argentina**, conditions are mixed for both early and late planted crops. In the central regions excess rainfall is causing flooding and has caused losses of crops in low lying areas. A lack of rainfall in the southern regions during planting has caused a reduction of planted area and has impacted the conditions of late planted crops.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 2 February 2017

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 10 January 2017, the Ministry of Production of **Argentina** issued Resolution 24-E/2017, which suspends several mandatory import and marketing requirements that were imposed on wheat exporters between 2013 and 2015. Effective from 13 January 2017, the policy seeks to correct the market distortions affecting the production and commercialization of wheat and wheat products.
- After setting the procurement price at 300 Egyptian pounds (USD 158.7) per tonne in November 2016, **Egypt** announced on 5 January 2017 that it would purchase the domestic wheat crop at international prices in the coming season, and thus eliminate government subsidies.
- Faced with high domestic prices, **India** removed the 10 percent import duty on wheat on 8 December 2016, with immediate effect for an unspecified period.
- On 19 January 2017, **Mexico** notified the WTO of the introduction of new phytosanitary requirements and inspection procedures for wheat imported from Argentina.

Maize

- On 29 November 2016, the Ministry of Agriculture in **Argentina** announced the release of new varieties of insect-resistant genetically-treated maize (Resolution 96-E/2016).
- In December 2016, the Minister of Agriculture of **China** announced plans to cut a further 667,000 hectares of maize plantations in the North and Southwest regions in the course of 2017, while encouraging farmers to switch production towards other animal feed crops. These reforms come as part of continuous efforts, starting in 2015, to address the persistent oversupply of maize.
- On 11 January 2017, the Ministry of Commerce in **China** further increased anti-dumping duties on US distillers dried grains (DDGs) from 33.8 percent to a level ranging between 42.2 and 53.7 percent. At the same time, countervailing duties were set between 11.2 and 12 percent, up from 10 and 10.7 percent. These duties will remain in place for five years.
- On 5 December 2016, **South Africa** re-opened the application process for import permits with respect

to five GMO (genetically modified organism) varieties of US maize.

Rice

- On 14 December 2016, the National Food Authority in the **Philippines** approved the importation of 641,080 tonnes of rice from India (6,140 tonnes), Pakistan (56,140 tonnes), Thailand (284,780 tonnes) and Viet Nam (294,020 tonnes) under WTO-bound quota access (805,200 tonnes, subject to a 35 percent import duty).
- On 9 January 2017, the Permanent Secretary of the Minister of Commerce in **Thailand** stated that government efforts to reduce rice growing areas would continue in 2017 under the overall management of the Ministry of Agriculture, while export growth would be promoted. According to the Ministry of Commerce, sales of rice from public stocks (currently holding some 8.0 million tonnes) would be resumed in the first quarter of 2017. Government stocks were last released in August 2016.

Soybeans

- On 2 January 2017, **Argentina** issued Decree 1343/2016, which outlines a plan to reduce the 30 percent soybean export tax to 18 percent by 2019. To this effect, 0.5 percentage point reductions will be applied on a monthly basis, starting in 2018. Identical reductions will be applied to the 27 percent charge currently imposed on soybean oil and soybean meal exports.

Across the board

- In **Brazil**, early payments were made to grain producers on 30 December 2016 as part of the Subsidy to the Rural Insurance Premium contracted in early 2016. Furthermore, on 17 January 2017, the country's president announced a 20 percent increase in subsidized agricultural credit facilities to 12 billion real (USD 3.72 billion), enabling producers to purchase inputs at preferential interest rates.
- In order to improve the efficiency of delivery and monitoring of farm support, on 26 January 2017, the Ministry of Finance of **China** issued new guidelines regarding the channelling of agricultural insurance subsidies through specified agencies to eligible crops, livestock and aquaculture products.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

- In December 2016, Heilongjiang Province in **China** prohibited the cultivation, processing and selling of GM (genetically modified) crops (rice, maize and soybeans) as of 27 May 2017 for a five-year duration. The supply of GM seeds and the sale or importation of all edible farm produce containing GM ingredients will also be prohibited. The sale of GM food will be confined to a special zone within Heilongjiang Province, and subject to labelling requirements.
- On 13 January 2017, the Ministry of Trade in **Egypt** streamlined the import procedures applicable to grains. Notably, the General Organization for Export and Import Control will be responsible for safety inspections upon the arrival of all grain shipments, and will coordinate with the quarantine authorities as appropriate. Accredited companies will be responsible for pre-shipment inspection.
- On 13 and 20 December 2016 respectively, the **European** Commission and **Japan** notified the WTO of new maximum pesticides residue levels for various crops, including AMIS crops. The deadlines set for comments are 13 and 17 February 2017, respectively.
- On 25 January 2017, **Indonesia** approved France's food safety testing procedures with regards to export of grains (wheat and barley), fruit and vegetables. Their imports had been halted since last year.
- On 3 January 2017, the Secretariat of Agriculture, Livestock, Rural Development, Fishery and Food in **Mexico** notified the WTO of its plans to introduce new assessment criteria governing the experimental release of GMOs, including maize and soybeans. The deadline for comments from the WTO Membership is 14 March 2017.
- To diversify agricultural production, improve productivity and reduce water-intensive crops in structurally disadvantaged areas, **Turkey** launched a new agricultural subsidy programme in 2017, i.e. the National Agriculture Project. Nineteen crops (including all AMIS crops) designated as strategic by

the government, as well as livestock, will be eligible for domestic subsidies. These subsidies will be allocated based on climate and soil conditions prevailing in each zone, and will be disbursed in two annual instalments.

- On 5 December 2016, **Ukraine's** Food Safety and consumer Protection Service announced plans to institute control procedures to ensure that agricultural export consignments are GMO-free, particularly as regards soybeans.
- On 15 December 2016, the **US** filed a complaint with the WTO alleging that China maintained a number of market access restrictions to imports of US rice, wheat and maize, notably through tariff quota administration. Furthermore, on 25 January 2017, a dispute settlement panel was established at the request of the US to examine the WTO-consistency of China's domestic support policies for wheat, rice and maize. Sixteen AMIS participating countries reserved their third-party rights.

Biofuels

- In **China**, local governments have reportedly proposed a major expansion of maize-based ethanol production facilities in order to benefit from currently huge maize supplies. On 14 December 2016, China restated its objective to double ethanol production to 4 million tonnes by the end of the current five-year plan in 2020, as set out by the National Energy Administration.
- In response to the recommendations and rulings issued by the WTO in October 2016, the European Commission, on 20 December 2016, initiated a review into **EU** anti-dumping duties on biodiesel from Argentina and Indonesia (Official Journal 2016/C 476/04). The review will be completed by 10 August 2017.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Jan 2017 Average*	% Change	
		M/M	Y/Y
GOI	194	+ 2.0%	+7.4%
Wheat	163	+ 4.1%	- 1.2%
Maize	184	+ 1.7%	+6.7%
Rice	150	+ 2.2%	+0.4%
Soybeans	201	+1.4%	+14.6%

*Jan 2000=100, derived from daily export quotations

Wheat

A firmer price tone prevailed in world wheat export markets during January, with the IGC GOI wheat sub-Index rising to its highest since June 2016. While the outlook for global supplies remained ample, price support was often linked to concerns about unfavourable weather for 2017 crops in some areas, including in the US and the EU. Underpinning also came from even lower than anticipated winter wheat area in the US, to the smallest in more than 100 years, including a particularly steep fall for hard red winter wheat (HRW). Prices for high quality milling wheat continued to be bolstered by relatively tight world supplies, although bullish sentiment was dampened by the near completion of harvests in Australia and Argentina, where crops exceeded earlier expectations. Black Sea milling wheat remained attractively priced, but logistical problems contributed to a recent slowdown in exports.

Maize

With net advances noted at all major origins, the IGC GOI maize sub-Index notched 2 percent gains in January, firming for a second successive month. A rise in US prices was mainly tied to buoyant export demand, but with slow country movement and uncertain South American crop prospects also providing occasional underpinning. A slow pace of producer selling lent support to values in Argentina, where concerns about recent volatile weather continued to mount. Market activity was seasonally quiet in the main Black Sea exporters,

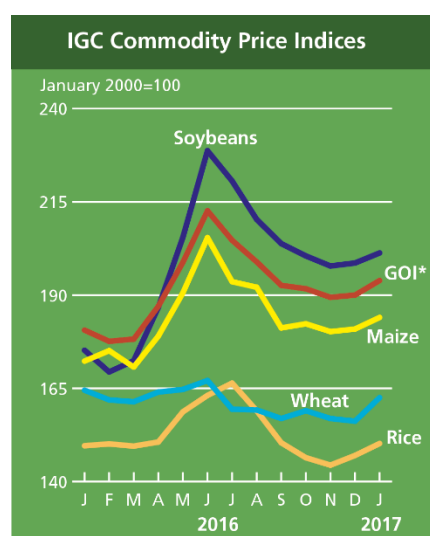
with modest price increases stemming from logistical constraints.

Rice

Buoyed by firmer markets in South Asia, the IGC GOI rice sub-Index advanced by around 2 percent during January, touching a fresh four-month peak recently. White and parboiled quotations in India and Pakistan posted notable gains, supported by tight local availabilities and signs of improved demand from key buyers in Africa and Asia. Elsewhere in the region, prices in Thailand and Viet Nam were little changed amid few fresh developments. Outside of Asia, US Gulf milled values eased against the backdrop of lacklustre buying interest.

Soybeans

Average global soybean values were fractionally firmer in January, the IGC GOI sub-Index posting a net gain of 1.4 percent m/m. Although prospects for heavy global availabilities remained a bearish underlying influence throughout the month, world markets were recently underpinned by concerns about the impact of heavy rains and flooding in central growing regions of Argentina, underscored by a downgrade to the official forecast for 2016/17 seeded area. With Gulf FOB values at a discount to offers for Brazilian new crop supplies, international buying interest for US soybeans was supportive; as at 12 January, cumulative 2016/17 (Sep/Aug) export commitments were nearly one-quarter higher y/y.



*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2016	January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4
	April	187.0	164.0	179.0	150.6	186.7
	May	198.8	164.7	190.6	158.7	205.5
	June	212.6	167.1	205.4	163.1	228.7
	July	204.7	159.4	193.6	166.4	220.6
	August	198.9	159.2	192.1	159.0	210.3
	September	192.6	156.9	181.2	150.4	203.8
	October	191.7	159.0	182.3	146.4	200.5
	November	189.4	156.9	180.2	144.4	197.8
	December	190.0	156.2	180.9	147.0	198.6
2017	January	193.9	162.5	184.0	150.2	201.3

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

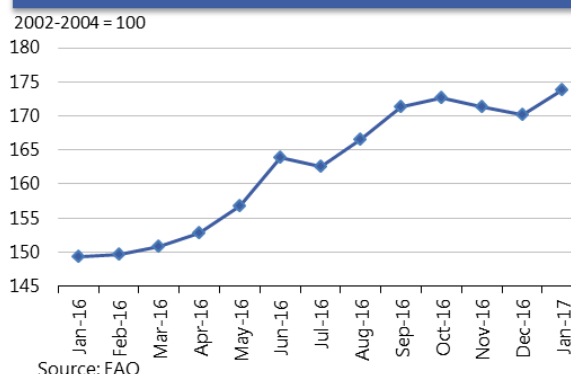
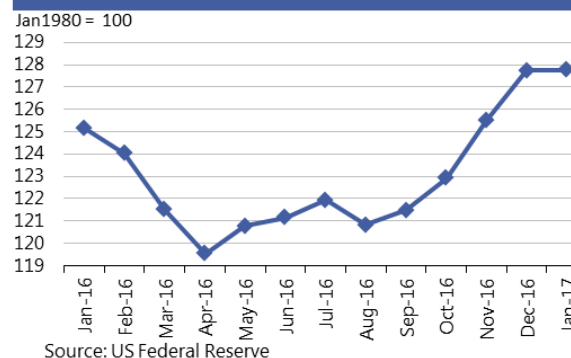


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	30-Jan	201	208	191	213	-3.4%	-5.8%
Maize (US No. 2, Yellow)	30-Jan	158	164	156	166	-3.3%	-4.6%
Rice (Thai 100% B)	30-Jan	366	368	367	380	-0.5%	-3.7%
Soybeans (US No.2, Yellow)	30-Jan	392	407	389	354	-3.7%	10.9%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	January 2017 Average	Monthly Change	Annual Change
Argentina	ARS	15.90	-0.4%	-16.9%
Australia	AUD	1.34	1.6%	5.9%
Brazil	BRL	3.20	4.5%	21.1%
Canada	CAD	1.32	1.1%	7.0%
China	CNY	6.89	0.4%	-4.9%
Egypt	EGP	18.55	-1.5%	-137.0%
EU	EUR	0.94	0.8%	-2.3%
India	INR	68.06	-0.4%	-1.1%
Indonesia	IDR	13,362.05	0.3%	3.7%
Japan	JPY	114.95	1.0%	2.8%
Kazakhstan	KZT	330.96	0.9%	9.2%
Rep. Korea	KRW	1,180.36	0.3%	1.8%
Mexico	MXN	21.39	-4.3%	-18.5%
Nigeria	NGN	308.34	-1.2%	-55.1%
Philippines	PHP	49.73	0.0%	-4.7%
Russian Fed.	RUB	59.84	3.3%	22.2%
Saudi Arabia	SAR	3.75	0.0%	0.0%
South Africa	ZAR	13.56	2.0%	16.9%
Thailand	THB	35.45	0.9%	1.9%
Turkey	TRY	3.74	-7.0%	-24.6%
UK	GBP	0.81	-1.0%	-16.7%
Ukraine	UAH	27.15	-3.4%	-12.0%
Viet Nam	VND	22,602.43	0.5%	-1.0%

FAO Food Price Index
Jan2016-Jan2017Nominal Broad Dollar Index
Jan2016-Jan2017

Futures markets

Futures Prices – nearby

	Jan-17 Average	% Change	
		M/M	Y/Y
Wheat	156	+6.7%	-10.5%
Maize	142	+3.5%	-
Rice	213	+1.0%	- 13.7%
Soybeans	380	+1.1%	+17.4%

Source: CME

Futures prices

Prices for wheat, maize and soybeans increased m/m, briefly reaching 7 month highs during the third week of January before reversing direction. Wheat – the biggest gainer – rose on reports of a sharp drop in US hard red wheat sowings (HRW), while maize and soybeans increased on continued strong export demand and floods in Argentina. Amid general uncertainty over the incoming US administration's policy framework, some analysts cited re-inflation expectations as cause for the price boost in equities and commodities, noting also a reversal in the US dollar index following record highs in December. Rice prices rose steadily during January, following the dip in December, to end up on average about one percent m/m. Wheat and rice prices were down 11 and 14 percent respectively y/y while soybeans were higher by 17 percent and maize unchanged.

Volumes and volatility

Wheat and maize volumes rose m/m 80 and 70 percent respectively, while soybean volumes dropped 13 percent m/m. Maize and soybeans volumes were about on par y/y, while wheat volume was higher by 40 percent. Implied volatility reflected marginal changes m/m and y/y for all three commodities, while historical volatility experienced higher levels both m/m and y/y. Despite a drop in volume, soybean futures posted a record increase in cumulative open interest around the third week of January, according to the CME, although open interest remained well below record.

Basis levels and transport

Basis levels for maize and soybeans remained weak in the interior as producers made post New Year sales at higher prices. In Illinois, the interior bids to local elevators were minus USD 7 and minus USD 11 per tonne for the nearby futures for maize and soybeans respectively, while in Iowa the bids for the respective crops were minus USD 15 and minus USD 30 per tonne. Gulf export market, however, rose modestly from multi-year seasonal lows seen in December, to be quoted at around USD 18 for maize and USD 14 for soybeans over the respective March futures. A rise in barge freight due to navigation issues was partly attributable to the rise in export values. Soft red winter wheat (SRW) Gulf export values were steady at about 20 USD per tonne over the March futures while interior values in northern Illinois remained at discounts to futures prices. Export sales (as

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Jan-17	Dec-16	Jan-16
Wheat	27.4	25.6	22.3
Maize	18.0	17.9	18.5
Rice	20.3	27.3	26.7
Soybeans	19.3	17.9	14.7

of January 19) continued to outpace last year's levels by wide margins: outstanding sales of about 39 million tonnes were 55 percent higher y/y while cumulative exports of 72 million tonnes were 31 percent higher y/y for the respective marketing years of wheat, maize and soybeans.

Forward curves

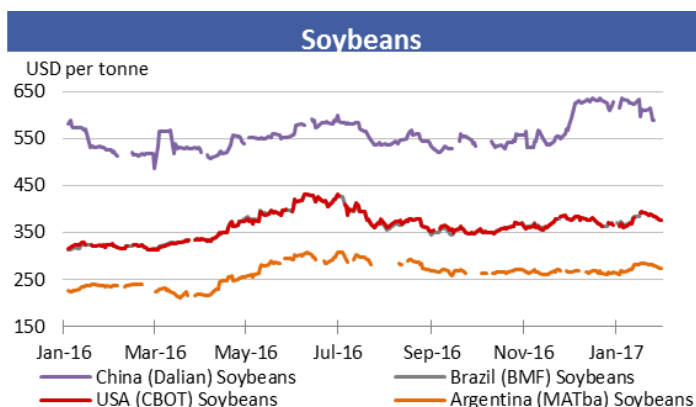
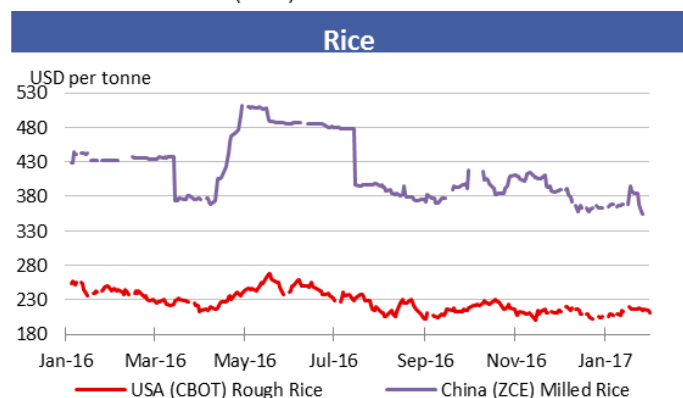
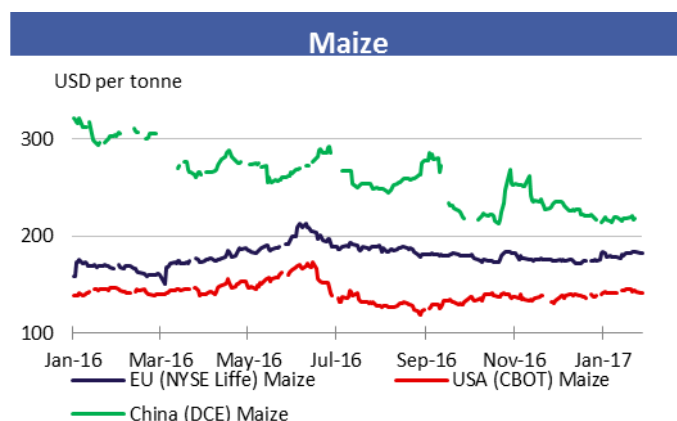
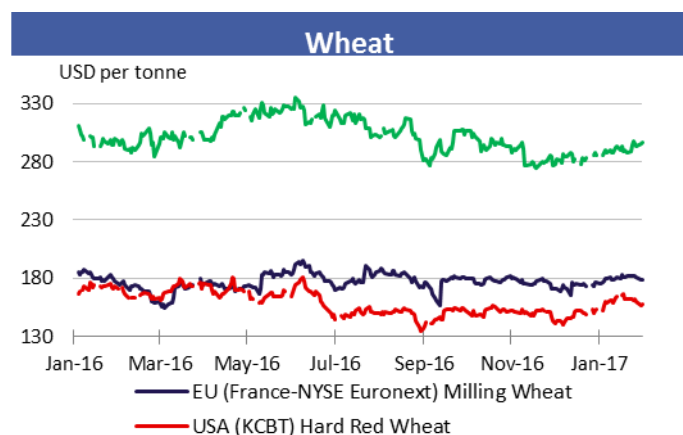
Forward curves for wheat and maize appeared much the same (contango – upward sloping) as they have since harvest, varying only in absolute price levels of the successive contracts. Soybeans exhibited a slightly greater inverse (backwardation) between the July 2017 and November 2017 contracts (referred to as the old crop/new crop spread) as analysts predicted substantial switching of both maize and wheat acres into soybeans during the upcoming US planting season. This spread widened to USD 17, with the July contract gaining about USD 5 on the November m/m. Sparse deliveries occurred on the January soybean contract despite negative basis levels quoted within the delivery area of Illinois River barge loading stations.

Investment flows

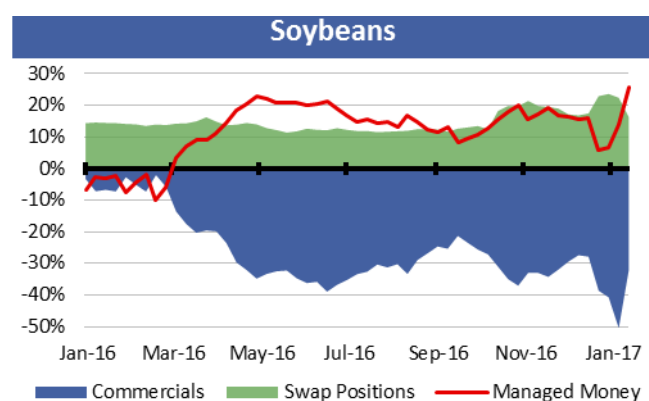
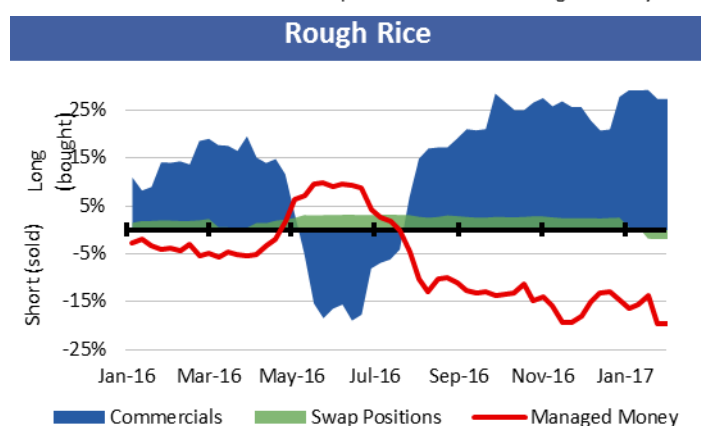
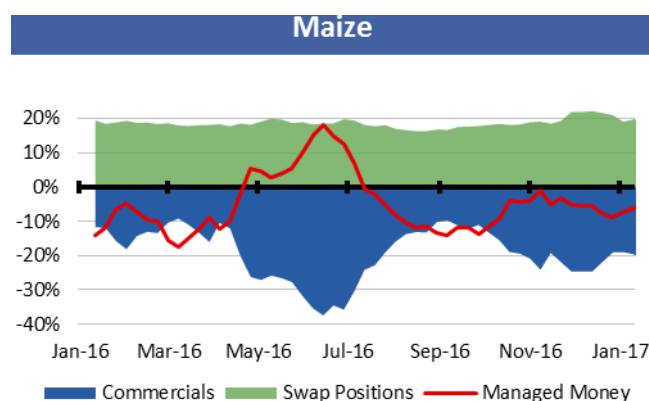
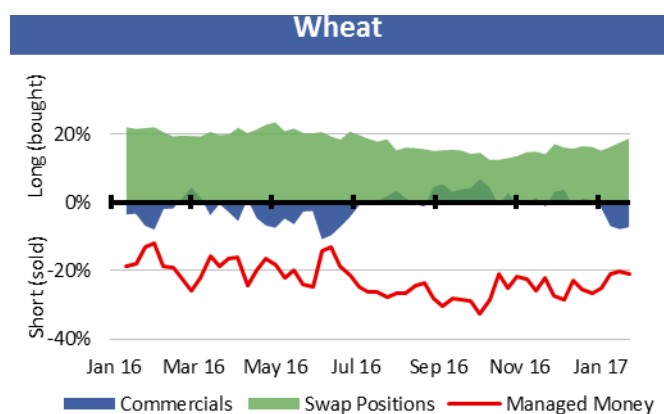
Managed money turned active toward month end, particularly in maize and soybeans, as prices moved toward multi-month highs. Since beginning of January, managed money reversed its long held net short position in maize to a net long, with net purchases of about 110 000 contracts (14 million tonnes), while in soybeans, it added almost 90 000 contracts (12 million tonnes) to its net long. Commercials and small speculators (categorized as Other Reportables) took the other side of these transactions. In wheat, managed money marginally trimmed its net short position. Traders from all categories are said to be focused on the planting intentions report based on the 1 March survey, which often resets price trends of the three commodities.

Market indicators

Daily quotations from leading exchanges - nearby futures

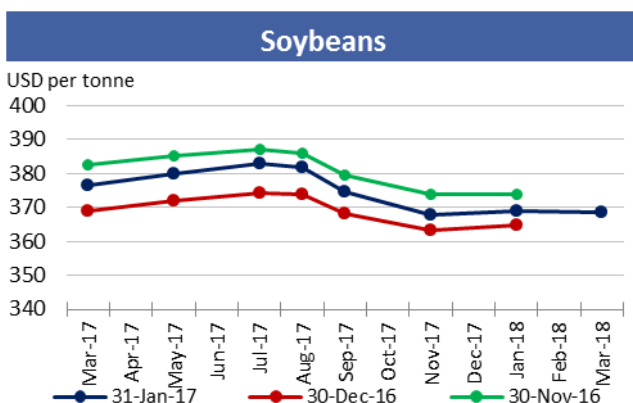
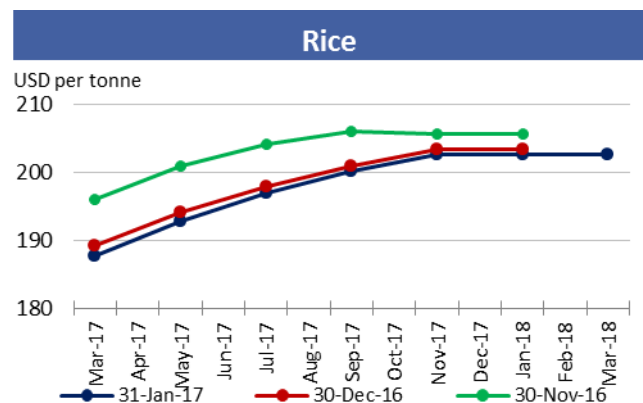
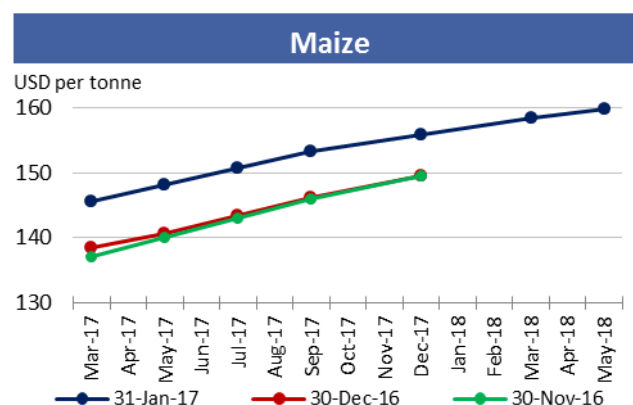
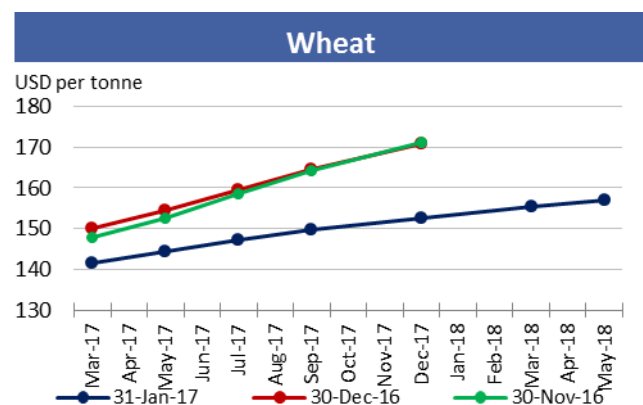


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

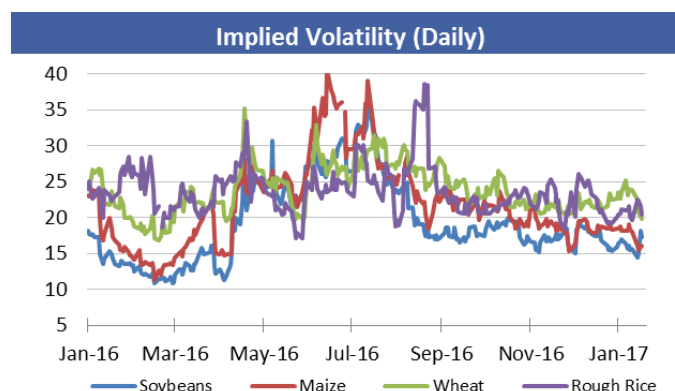
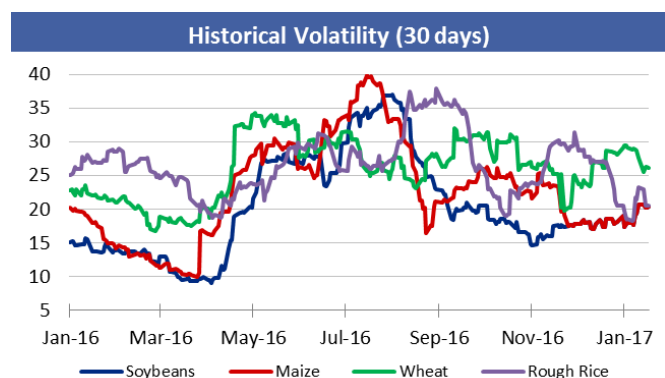


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

- Maize prices moved higher in January and have been on the increase since September of last year.
- DDGs prices continued to soften even as maize prices rose and by the end of January were running just under 80 percent of the price of maize on a weight basis.
- Ethanol prices declined sharply in January as production reached record levels, exceeding 16 billion gallons on an annualized basis for the second month in a row.
- With rising input costs and falling output costs, producer margins tumbled, falling from positive margin over USD 0.20 per gallon in December to a loss of USD 0.10 per gallon in January.
- Gasoline futures held steady even as ethanol futures declined, moving ethanol from a premium to gasoline to a discount.

Spot prices IA, NE and IL/eastern corn belt average	Jan 2017*	Dec 2016	Jan 2016
Maize price (USD per tonne)	135.50	130.30	138.50
DDGs (USD per tonne)	100.45	104.73	130.00
Ethanol price (USD per gallon)	1.39	1.65	1.28

Nearby futures prices CME, NYSE	Jan 2017*	Dec 2016	Jan 2016
Ethanol (USD per gallon)	1.49	1.63	1.36
RBOB Gasoline (USD per gallon)	1.6	1.6	1.1
Ethanol/RBOB price ratio	94.40	103.2%	121.9%

Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)	Jan 2017*	Dec 2016	Jan 2016
Ethanol receipts	1.39	1.65	1.28
DDGs receipts	0.31	0.32	0.40
Maize costs	1.25	1.20	1.28
Other costs	0.55	0.55	0.55
Production margin	-0.10	0.22	-0.15

Ethanol production (million gallons)	Jan 2017*	Dec 2016	Jan 2016
Monthly production total	1 381	1 361	1 266
Annualized production pace	16 264	16 029	14 904

Based on USDA data and private sources

* Estimated using available weekly data to date.

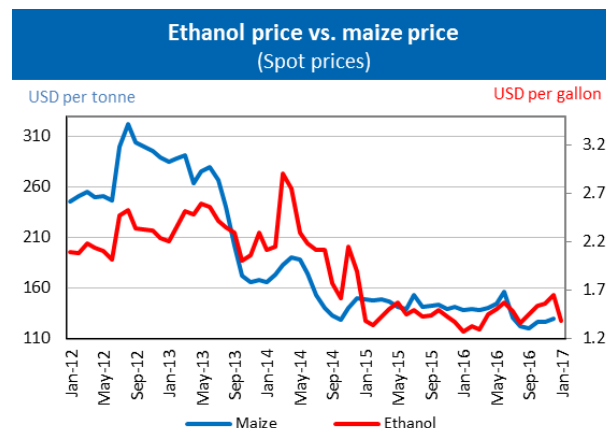
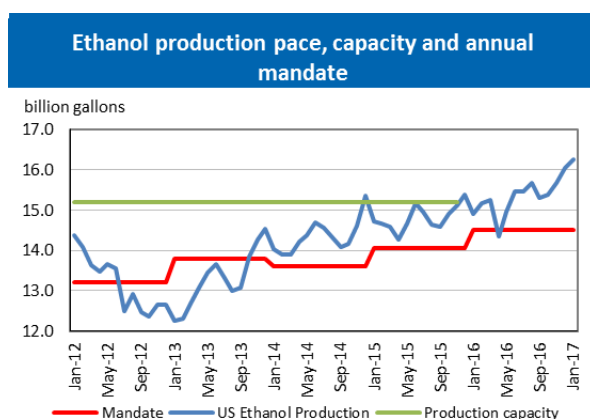
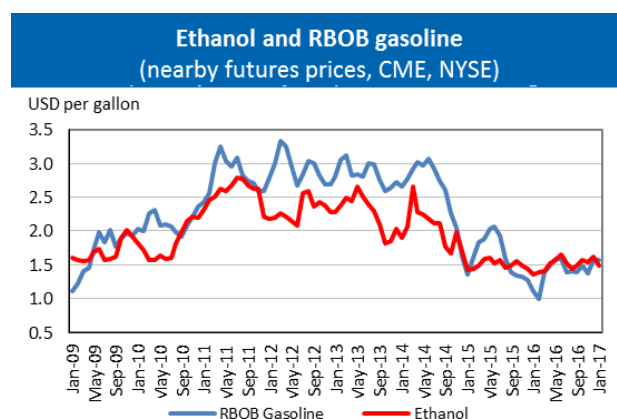
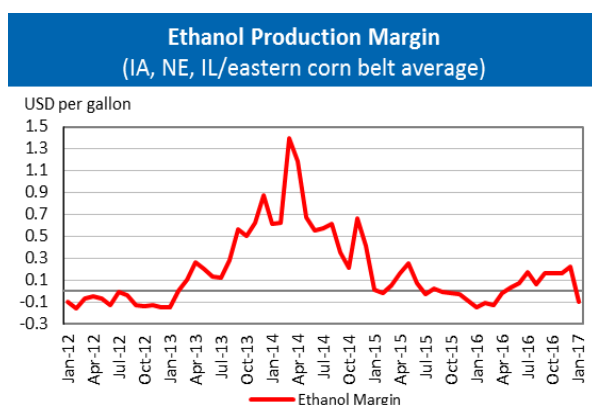


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

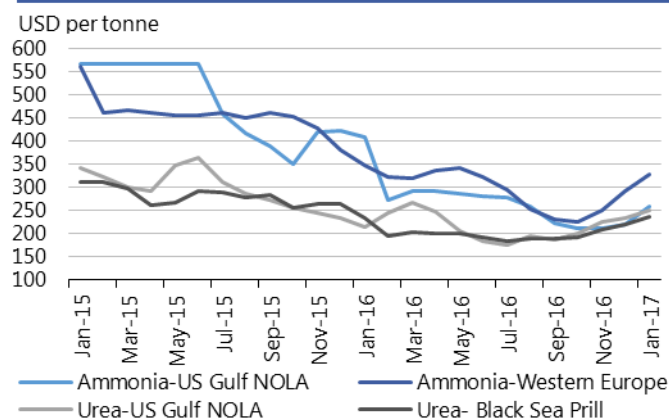
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

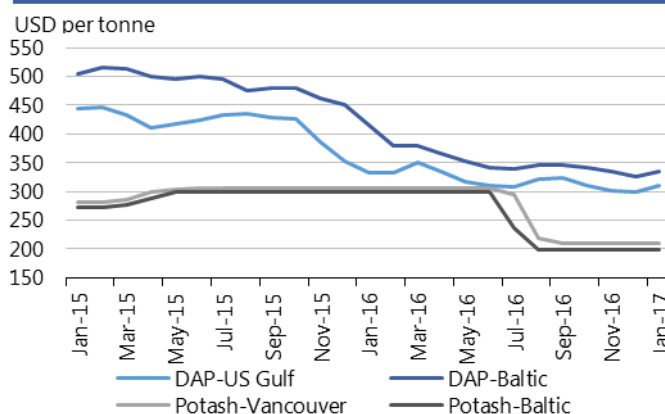
Fertilizer outlook

**Ammonia and Urea
(Spot prices)**



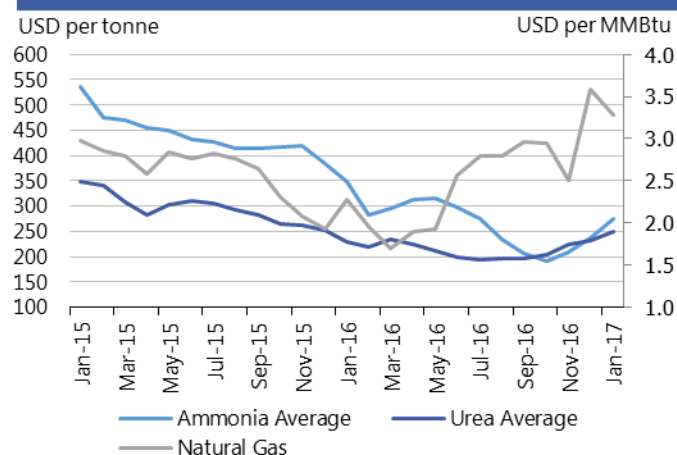
Note: calculations based on Bloomberg.

**Potash and Phosphate
(Spot prices)**



Note: calculations based on Bloomberg.

**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



Note: Natural gas is used as major input to produce nitrogen-based fertilizers. Own elaboration based on Bloomberg.

- The average price of **nitrogen-based fertilizers** rose due to increased input costs. Rising coal prices, the key driver of nitrogen costs in China, has limited Chinese supplies despite the elimination of that country's export tax. Ukraine has also decreased its nitrogen production following Russia's diversion of natural gas supplies.
- DAP** m/m prices in both the US Gulf and the Baltic recovered after reaching a 12-month low. Supplies in international markets were affected by reduced exports from China.
- Potash** m/m prices held steady despite the reopening of Canadian firms. Output cuts by major producers have kept global inventories low.
- The m/m price of **natural gas** fell, with both commercial and residential consumption declining in the US due to warmer-than-normal weather. Additionally, exports to Mexico have declined sharply as the peso has depreciated more than 20 percent against the US dollar.

Region	January average	January std. dev	% change last month	% change last year	12-month high	12-month low
Ammonia-US Gulf NOLA	257.0	-	0.17	-0.4	565.0	210.0
Ammonia-Western Europe	328.3	14.4	0.13	-0.1	560.0	225.0
Urea-US Gulf	249.0	7.2	0.08	0.2	363.6	174.4
Urea-Black Sea	235.0	8.7	0.07	0.0	310.0	183.0
DAP-US Gulf	309.5	3.1	0.03	-0.1	447.0	300.0
DAP-Baltic	335.0	5.0	0.03	-0.2	515.0	325.0
Potash-Baltic	198.0	-	-	-0.3	300.0	198.0
Potash-Vancouver	209.0	-	-	-0.3	305.0	209.0
Ammonia Average	208.6	6.5	0.16	-0.2	535.6	191.3
Urea Average	224.4	5.3	0.1	0.1	347.6	192.8
Natural Gas	2.4	0.1	-0.08	0.4	3.6	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. **Natural Gas:** Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **“World Supply and Demand”** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **“FAO-AMIS”**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2017 AMIS Market Monitor Release Dates
February 2, March 2, April 6, May 4, June 8, July 6, September 7, October 5, November 2, December 7

Contacts and Subscriptions

AMIS Secreteriat Email:
AMIS-Secreteriat@fao.org

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